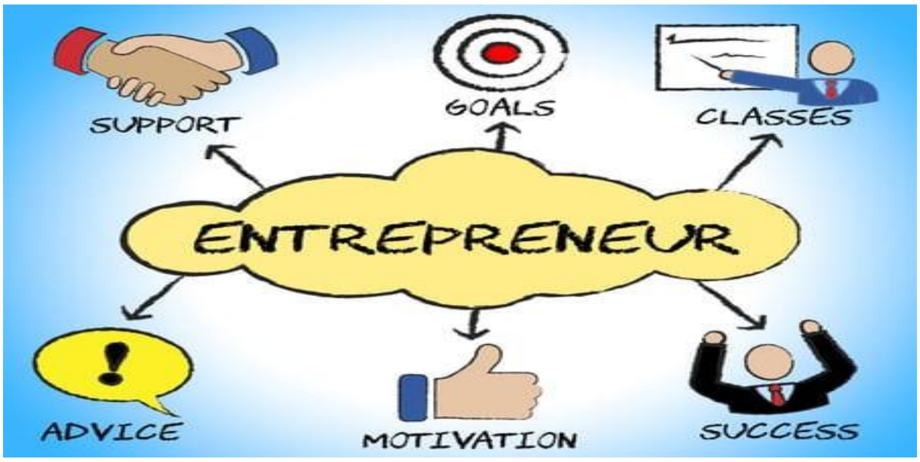
INTRODUCTION TO ENTREPRENEUR

MEANING OF ENTREPRENEUR:

Entrepreneur is a person who tries to create something new, searches new opportunities, bears risks unites various factors of production like land, labor and capital carries innovations and from his skill and farsightedness faces unforeseen circumstances and thereby earns profits. Entrepreneurs are the pioneers who are instrumental in the economic development, growth and development of and prosperity of a country.



DEFINITION:

According to F.A Walker: "Entrepreneur is one who is endowed with more than average capacities in the task of organizing and coordinating the factors of production, ex., labor capital and enterprises".

According to peter F. Drucker: "Entrepreneur as one who always searches for change, responds to it and exploits it as an opportunity. Innovation is the basic tool of entrepreneur, the means by which they exploit change as an opportunity for a different business or services.

NATURE OF ENTREPRENEUR:

Here's a breakdown of the key aspects of an entrepreneur's nature:

1.Risk – Taking:

Entrepreneurs are willing to take calculated risks, understanding that failure is a potential outcome but viewing it as a learning opportunity. They assess risks and opportunities, making informed decisions even when faced with uncertainty.

2.Innovation:

Entrepreneurs are drivers by a desire to create new products, services, or processes that offer unique value to customers. They are constantly seeking ways to improve existing offerings and find new solutions to market needs.

3. Leadership

Successful entrepreneurs possess strong leadership qualities, inspiring and guiding their teams towards achieving a shared vision. They can mobilize resources, makes strategic decisions, and foster a positive and productive work environment.

4. Vision And Opportunity Recognition

Entrepreneurs have clear vision for their ventures and their ability to identify opportunities where others see challenges. They are adept at spotting markets gaps and developing innovations solutions to fill them.

5.Drivers and passion

Entrepreneurs are highly motivated and passionate about their work. they possess they energy and determination to persevere through challenges and setbacks, driving their ventures towards success.

6. Adaptability and Flexibility:

The business landscape is constantly evolving, and entrepreneurs must be adoptable and flexible to navigate changes and challenges. They are open to new ideas, technologies, and trends, adjusting their strategies as needed

7. Problem-Solving:

Entrepreneurs are adept at problem – solving, turning challenges into opportunities. They are creative and resourceful, finding innovative solutions to overcome obstacles and achieve their goals.

8.Opportunity – seeking Behavior

Entrepreneurs are alert and responsive to business opportunities. They are constantly scanning the environment to identify gaps in the market or consumer needs that are not being met.

9.Financial Acumen:

While not always a core skill, understanding basic financial principles and managing resources effectively is essential for sustainable growth. In essence, the nature of an entrepreneur is defined by a unique combinations of traits, behaviors, and motivations that drive them to create, innovate, and lead in the pursuit of their entrepreneurial goals.

10.Human relation:

Building strong relationship with employees, customers, suppliers, and investors is crucial for entrepreneurial success. Entrepreneurs need to communicate effectively and build trust to foster collaboration and support.

FUNCTIONS OF AN ENTREPRENEUR

An entrepreneur has to perform a number of functions right from the generation of idea up to the establishment of an enterprise. He also has to perform functions for successful running of his enterprise. Entrepreneur has to perceive business opportunities and mobilize resources like man, money, machines, materials and methods. The following are the main functions of an entrepreneur.

1.Idea Generation:

The first and the most important function of an entrepreneur is idea generation. Idea generation implies product selection and project identification. Idea generation is possible through vision, insight, keen observation, education, experience and exposure. This needs scanning of business environment and market survey.

2.Determination of Business Objectives:

Entrepreneur has to state and lay down the business objectives. Objectives should be spelt out in clear terms. The entrepreneur must be clear about the nature and type of business, i.e. whether manufacturing concern or service - oriented unit or a trading business so that he can very well carry on the venture in accordance with the objectives determined by him.

3.Raising of Funds:

All the activities of the business depend upon the finance and hence fund raising is an important function of an entrepreneur. An entrepreneur can raise the fund from internal source as well as external source. He should be aware of different sources of funds. He should also have complete knowledge of government sponsored schemes such as PMRY, SASY, REAP etc. in which he can get government assistance in the form of seed capital, fixed and working capital for his business.

4.Procurement of Machines and Materials:

Another important function of an entrepreneur is to procure raw materials and machines. Entrepreneur has to identify cheap and regular sources of raw materials which will help him to reduce the cost of production and face competition boldly. While procuring machineries, he should specify the technical details and the capacity. He should consider the warranty, after sales service facilities etc. before procuring machineries.

5.Market Research

Market research is the systematic collection of data regarding the product which the Entrepreneur wants to manufacture. Entrepreneur has to undertake market research persistently to know the details of the intending product, i.e. the demand for the product, size of the market/customers, the supply of the product, competition, the price of the product etc.

6. Determining form of Enterprises

Entrepreneur has to determine form of enterprise depending upon the nature of the product, volume of investment etc. The forms of ownership are also proprietorship, partnership, Joint Stock Company, co-operative society etc. Determination of ownership right is essential on the part of the entrepreneur to acquire legal title to assets.

7.Recruitment of Manpower:

To carry out this function, an entrepreneur has to perform the following activities. Estimate man power requirement for short term and long term

- Laying down the selection procedure.
- Designing scheme of compensation
- Laying down the service rules.

8.Implementation of the Project:

Entrepreneur has to develop schedule and action plan for the implementation of the project. The project must be implemented in a time bound manner. All the activities from the conception stage to the commissioning stage are to be accomplished by him in accordance with the implementation schedule to avoid cost and time over run. He has to organize various resources and coordinate various activities. This implementation of the project is an important function of the entrepreneur.

TYPES OF ENTREPRENEURS:

Today various types of entrepreneurs are found engaged in different types of activities, not only in industrial activities but also in agriculture and commercial activities. Today we can recognize entrepreneur in industry, service and business sectors which are technically called as ISB sectors. Entrepreneurs are classified in a number of ways as discussed below.

Clearance Danhof's Classifications

Danhof classifies Entrepreneur into four types.

1.Innovative Entrepreneur:

This category of entrepreneur is characterized by smell of innovativeness. This type of entrepreneur senses the opportunities for introduction of new ideas, new technology, discovering of new markets and creating new organizations. Such entrepreneur can work only when certain level of development is already achieved and people look forward to change and improve. Such entrepreneurs are very much helpful for their country because they bring about a transformation in life style.

2.Adoptive or Imitative Entrepreneur:

Such entrepreneurs imitate the existing entrepreneur and set their enterprise in the same manner. Instead of innovation, he may just adopt the technology and methods innovated by others. Such types of entrepreneurs are particularly suitable for under developed countries for imitating the new combination of production already available in developed countries.

3.Fabian Entrepreneur:

Fabian entrepreneurs are characterized by great caution and Skepticism, in experimenting any change in their enterprise. They imitate only when it becomes perfectly clear that failure to do so would result in a loss of the relative position in the enterprises.

4.Drone Entrepreneur:

Such entrepreneurs are conservative or orthodox in outlook. They always feel comfortable with their old- fashioned technology of production even though technologies have changed. They never like to get rid of their traditional business, traditional machineries and traditional system of business even at the cost of reduced returns

5.Industrial Entrepreneurs:

Such entrepreneurs engage in manufacturing and selling products. Industrial entrepreneurs mobilise the resources of various types and create an entity to manufacture the products and services. They add utility to products rolled out by them which is termed as valued - addition.

6.Service Entrepreneurs

Such entrepreneurs engage in service activities like repair, consultancy, beauty parlour etc., where entrepreneurs provide service to people. Service enters into ventures of suppling service products to end customers, hoteliers, airlines, banking, insurance and financial service providers and so on.

7.Business Entrepreneurs:

They are also called as trading entrepreneurs which buy and sell goods. He/ she is one who conceives an idea for a new products/services and establishes a business enterprise to translate his/her idea into reality. This entrepreneur also called as solo entrepreneur.

Business entrepreneur starts small units like printing press, textile shop, advertisement, bakery, sweet stall, repair shop etc.

8.Agricultural Entrepreneurs:

They engage themselves in agricultural activities like horticulture, floriculture, animal husbandry, poultry etc. in short, these entrepreneurs pursue their ventures in agriculture and allied sectors. Agricultural entrepreneurs are those who raise farm products in the agricultural farm and market them.

9.Corporate Entrepreneurs

Corporate entrepreneurs undertake their business activities under legally registered company or trust. Cooperate entrepreneurs install a team of experts to manage the entity on a day - to – day basis. Cooperate entrepreneur also called as promoter.

He/she take initiative necessary to start an entity under company format. He/she arranges to fulfil all the formalities mandated to start a cooperate entity under the company law.

10.Rural Entrepreneurs:

Entrepreneur's selecting rural-based industrial opportunity in either khadi or village industries sector or in farm entrepreneurship are regarded as rural entrepreneurs. According to Khadi and Village Industry Commission (KVIC) village or rural industry means any industry located in rural areas, population of which do not exceed 10,000, which produces any goods or services in which fixed investment of an artisan or a worker does not exceed one thousand rupees.

QUALITIES OF AN ENTREPRENEUR:

1. Visionary Thinking:

An entrepreneur has the ability to look beyond the present and imagine a future that doesn't yet exist. This quality allows them to identify unmet needs, gaps in the market, or new trends before others do.

2. Calculated Risk-Taking:

Risk is inherent in entrepreneurship, but successful entrepreneurs don't take reckless risks. Instead, they assess potential downsides and upsides carefully and take calculated risks that have a reasonable chance of payoff.

3. Innovation and Creativity:

Entrepreneurs thrive on innovation. They constantly seek better ways to serve customers or improve products and services. Creativity allows them to think outside the box and develop unique solutions to problems, helping them differentiate their business in saturated markets.

4. Self-Confidence and Belief:

Entrepreneurs need strong self-confidence to make decisions independently and stand by their ideas even when faced with skepticism or criticism. This belief helps them lead teams, attract investors, and maintain morale.

5. Perseverance and Resilience:

Entrepreneurship is rarely smooth; setbacks, failures, and rejections are common. The ability to bounce back from failure without losing motivation is crucial. Entrepreneurs with resilience learn from their mistakes, adapt strategies, and continue striving toward their goals despite obstacles.

6. Leadership and People Management:

An entrepreneur must inspire, lead, and coordinate a team. Strong leadership involves clear communication, delegation, conflict resolution, and motivating employees. Entrepreneurs create a vision that aligns the team's efforts and foster a positive work culture that encourages collaboration and innovation.

7. Adaptability and Flexibility:

The business environment is dynamic, with changing customer preferences, technological advances, and economic fluctuations. Entrepreneurs must be willing to pivot their strategies, change business models, or innovate rapidly in response to these changes to survive and grow.

8. Strong Work Ethic and Discipline:

Entrepreneurship demands long hours, continuous learning, and multitasking. Entrepreneurs must be disciplined to set priorities, meet deadlines, and maintain productivity.

9. Financial Acumen:

Understanding financial statements, budgeting, cash flow management, and investment decisions is vital. Entrepreneurs who manage finances wisely can avoid cash shortages, allocate resources effectively, and plan for sustainable growth.

10. Networking and Relationship Building:

Building and nurturing relationships with mentors, suppliers, customers, investors, and other entrepreneurs opens doors to new opportunities, partnerships, and knowledge. Effective networking also helps entrepreneurs gain credibility, access resources, and navigate challenges.

RELATIONSHIP BETWEEN ENTREPRENEURS AND ENTREPRENEURSHIP:

BASIS OF COMPARSION	ENTREPRENEUR	ENTREPRENEURSHIP
Definition	An individual who initiates, Organizes, and manages a business.	The process of starting and operating a new business.
Nature	The "who" – the person or people behind the venture.	The "what" – the overall process, system, and activities.
Role	Entrepreneur plays the role of a leader, innovator, and risk-taker.	Entrepreneurship involves idea generation, resources, mobilization, and execution.
Focus	Focuses on managing the business and making strategic decisions.	Focuses on creating and developing the business from the ground up.
Risk Involvement	Takes personal and financial risks.	Involves risk – taking as a part of the process.
Objective	To earn profits, create value, and grow the business.	To bring innovative ideas to life and establish a successful venture.
Outcomes	A Successful entrepreneur may gain wealth, recognition and impact.	A Successful entrepreneur process results in a sustainable business.
Examples	Steve jobs, Elon Musk, Ratan Tata.	Launching Apple, Tesla, or Tata Group Ventures.

ENTREPRENEURSHIP

MEANING OF ENTREPRENEURSHIP:

Entrepreneurship is the process of identifying, developing, and bringing a vision to life. This vision may be an innovative idea, a new product, or a better service — anything that creates value. At its core, entrepreneurship involves creativity, risk-taking, and the willingness to turn ideas into action.

DEFINITION OF ENTREPRENEURSHIP:

Joseph Schumpeter (Economist):

“Entrepreneurship is the process of creative destruction, where entrepreneurs innovate to replace old products, services, or processes with new ones.”

Peter Drucker (Management Guru):

“Entrepreneurship is about innovation, the act that endows resources with a new capacity to create wealth.”

ROLE OF ENTREPRENEURSHIP

Entrepreneurship plays a crucial role in the development of society and the economy. It is often seen as a driving force for innovation, employment, and economic growth.

1. Economic Development

Entrepreneurs contribute to GDP and national income by launching businesses that produce goods and services. This creates a multiplier effect across the economy

2.Job Creation

Startups and small businesses create the majority of new jobs in many countries. Entrepreneurs directly employ themselves and others, helping reduce unemployment.

3. Innovation

Entrepreneurs bring new ideas to market, solve problems, and create more efficient ways of doing things. Many of today’s major innovations (smartphones, electric vehicles, etc.) came from entrepreneurial ventures.

4. Encouraging Competition

Entrepreneurship increases competition in the market, leading to better quality products, more choices, and fair pricing for consumers.

5. Improved Standard of Living

By offering innovative products and services, entrepreneurs contribute to improved quality of life and consumer satisfaction.

NATURE OF ENTREPRENEURSHIP:

The nature of entrepreneurship explains the inherent characteristics and essential qualities of entrepreneurial activity.

1. Innovative:

Entrepreneurship involves introducing new ideas, products, or methods. Innovation is central to entrepreneurship, whether it's improving an existing solution or creating something entirely new.

2. Risk Bearing:

Entrepreneurs take calculated risks in terms of capital, time, and reputation. There is no guarantee of success, and failure is a constant possibility.

3. Proactive:

Entrepreneurs are forward-looking. They anticipate future demands and create products or services in advance to meet those needs.

4. Dynamic Process:

Entrepreneurship is not static; it evolves with market trends, consumer preferences, and technological advancements.

5. Resource Management:

Entrepreneurs efficiently manage limited resources such as time, money, people, and materials to achieve their goals.

INTRODUCTION TO WOMEN ENTREPRENEUR

MEANING OF WOMEN ENTREPRENEUR:

Women entrepreneurs are women who initiate, organize, and operate a business enterprise. They take the lead in identifying a business opportunity, arranging resources, and managing operations to turn an idea into a viable business. Women entrepreneurship is not just about owning a business—it's about leadership, risk-taking, innovation, and economic contribution.

The rise of women entrepreneurs marks a significant shift in traditional business roles and social perceptions. Today, women are increasingly establishing themselves in various sectors, including technology, manufacturing, fashion, healthcare, and education. With growing awareness, support, and empowerment, women are making significant strides as successful entrepreneurs globally.

Definition of Women Entrepreneurs

Government of India (1971):

"A woman entrepreneur is an enterprise owned and controlled by a woman having a minimum financial interest of 51% of the capital and giving at least 51% of the employment generated in the enterprise to women."

Scholarly Definition:

"A woman entrepreneur is a woman who innovates, initiates, organizes, and manages a business venture to earn profit, create employment, and contribute to economic development."

FUNCTIONS OF WOMEN ENTREPRENEURS:

Women entrepreneurs perform various roles and functions in the business environment, including:

1. Innovation

They innovate new products, services, or processes that meet market demands. Many women entrepreneurs bring fresh ideas, especially in lifestyle, beauty, healthcare, and digital services.

2. Resource Mobilization

They identify and utilize financial, human, and material resources to establish and run the enterprise efficiently.

3. Decision Making

Women entrepreneurs make strategic decisions related to planning, staffing, financing, marketing, and managing operations.

4. Employment Generation

Their ventures create job opportunities not only for themselves but also for others, particularly for women, helping in women empowerment.

5.Leadership and Management

They play the dual role of business leaders and administrators—motivating teams, managing crises, and ensuring smooth functioning of the business.

PROBLEMS FACED BY WOMEN ENTREPRENEURS

Despite progress, women entrepreneurs face several challenges that hinder their growth and success:

1.Financial Constraints

Access to capital is a major hurdle. Banks and financial institutions often hesitate to lend to women, especially if they lack collateral or guarantors. Many women rely on personal savings or informal borrowing.

2. Lack of Education and Training

Many women, especially in rural areas, lack business education or entrepreneurial training, which limits their ability to compete or scale their ventures.

3. Societal and Cultural Barriers

Traditional beliefs, gender roles, and social norms often restrict women from entering or continuing in business. They may face opposition from family or community.

4. Dual Responsibilities

Women often juggle domestic responsibilities along with their business, leading to stress, time constraints, and work-life imbalance.

Women as to play an dual role in the society.

5.Limited Mobility

In some regions, women face restrictions on travel or networking, which limits their ability to explore new markets, attend training, or build partnerships.

6. Lack of Networking

Business networking is crucial for growth, but women may find it difficult to connect with established networks dominated by men.

7. Marketing and Market Access

Women entrepreneurs may lack access to proper market channels, branding strategies, or digital tools to promote their products or services.

8. Legal and Regulatory Challenges

Navigating licenses, taxes, compliance, and legal paperwork can be difficult, especially for first-time entrepreneurs with limited knowledge.

9.low risk bearing capacities

Women in the Asian context tend to be security – minded as they are groomed in a safe and secure environment by their parents. They are under the care of their parents , husband and children all through their life.

10.patriarchal society

Women entrepreneurs have to battle male egos and mental barriers . entrepreneurship has been traditionally a male bastion, for several decades, in India.

Men do not take kindly to women successes in establishing the business ventures on par with them.

WOMEN ENTREPRENEUR IN CURRENT SCENARIO:

Product Name: Baggit bags

PROFILE:

HISTORY:

Nina Lekhi's vision for Baggit is to create unique, stylish, and functional bags with a "Make in India" philosophy, catering to the Indian consumer's preferences while maintaining a cruelty-free and sustainable approach. Her mission is to build a globally recognized brand that not only delivers quality products but also promotes a responsible and ethical business model.

NINA LEKHI'S

CEO Of Baggit Bags Products

PERSONAL DETAILS:

Name	Nina Lekhi
Origin / early life	She did a foundation art/ diploma courses at Sophia polytechnic, Mumbai.
First major setback	She failed her first- year exam in the foundation textile design course at Sophia polytechnic.

family	She has an elder brother. Her mother was very supportive of her business. She is married to mr.manoj and as one daughter.

PRODUCT DETAILS:

Attributes	Details
Started baggit	Age,18 in 1985
Initial capital	₹7000
Company value (2021)	₹111 crore
Vegan, cruelty - free	Yes
Recognition	Business Karmayogini, Entrepreneur India Award, Fortune Top 50
Spiritual	Siddha samadhi yoga
Published book	Bag it all
Online presence	@ninalekhi across social platform

VISION:

- Unique & Stylish Bags: Nina Lekhi envisioned bags with their own distinct personalities and attitudes, moving away from generic designs.
- "Make in India": Baggit is committed to manufacturing its products within India, supporting local talent and craftsmanship.
- Catering to Indian Consumers: The brand aims to understand and fulfill the specific needs and preferences of Indian consumers.
- Cruelty-Free & Sustainable: Baggit is dedicated to cruelty-free production and promoting sustainable fashion practices.
- Global Recognition: While rooted in India, the brand aspires to achieve global recognition and influence.

MISSION:

- Design Innovation: Continuously developing new and innovative bag designs that are both fashionable and functional.

- Quality & Functionality: Ensuring high-quality materials and construction in every bag, while maintaining practical design elements.
- Ethical & Sustainable Practices: Promoting ethical sourcing, cruelty-free production, and environmentally conscious manufacturing processes.
- Building a Strong Brand: Creating a recognizable and respected brand that resonates with consumers and stands for quality and values.
- Employee Empowerment: Fostering a positive and supportive work environment where employees feel motivated and valued.
- Balancing Personal and Professional Life: Nina Lekhi emphasizes the importance of balancing work and personal life for overall well-being and success.

AWARDS:

The Karamayogini Award from the State of Maharashtra, the Women Entrepreneur of the Year award at the Entrepreneur India Awards 2015, and recognition from PETA for Baggit's cruelty-free practices. She was also named one of India's 22 Women Achievers at the Outlook Business "Women of Worth" Awards in 2015, and ranked 49th on Fortune India's list of Top 50 Most Powerful Women in Indian Business.

Here's a more detailed breakdown:

- Business Karmayogini Award: This award, from the State of Maharashtra, recognizes her excellence in women's entrepreneurship.
- Women Entrepreneur of the Year Award: She received this award at the Entrepreneur India Awards 2015.
- PETA Recognition: Nina Lekhi and Baggit have been recognized by PETA for their commitment to cruelty-free and vegan fashion.
- Outlook Business Women of Worth: She was featured among India's 22 Women Achievers in this category.
- Fortune India's Top 50 Women: Lekhi secured the 49th position on this list, highlighting her impact in the business world.
- e4m Pride of India - #bestofbharatawards2022: Baggit was named the winner of this award, recognizing the brand's leadership, strategic accomplishments, creativity, and innovation.

PRODUCT NAME: BAGS

ORGANIC BAG COMPANY

PROFILE OF THE PROPOSED ENTREPRENEURSHIP ORGANISATION

BUSINESS BACKGROUND:

The organic bag product business emerged as a response to the growing global awareness of the environmental damage caused by plastic pollution and non-biodegradable materials. With government regulations banning single-use plastics in many regions, and consumers becoming increasingly eco-conscious, the demand for sustainable, biodegradable, and reusable alternatives has surged. This business was conceived to meet this urgent demand by offering organic, eco-friendly bag solutions for everyday use.

MISSION:

CORE VALUES:

Sustainability:

- We prioritize renewable, biodegradable, and recycled materials at every step of production.

Ethical Responsibility:

- Our supply chain supports fair labour practices, safe working conditions, and community upliftment.

Innovation:

- We invest in sustainable design and material science to create durable, multi-use organic bags.

Transparency:

- We believe in honest communication about our sourcing, production processes, and carbon footprint.

Brand promise:

- "A bag for every journey" – meaning versatility across user – cases.
- long – lasting products that offer value for money.

VISION:

1.Environmental stewardship:

We envision a world where everyday products contribute to the healing of our planet. Our organic bags are made from natural, biodegradable materials that reduce pollution and replace single-use plastics.

2. Empowered Communities:

Our supply chain supports ethical labour, local artisans, and fair trade practices. By choosing our bags, customers help uplift communities through education, fair wages, and sustainable employment.

3. Functional Beauty:

We believe eco-friendly products should also be fashionable, functional, and durable. Our designs combine practicality with aesthetics, encouraging people to choose sustainable options without compromise.

4. Educated Consumer Culture:

We aim to inspire and educate consumers about the impact of their choices, fostering a culture of responsibility and environmental awareness.

BUSINESS LOGO:

+

LOGO EXPLANATION:

The logo of our organic bag company is a visual representation of brands crore values: sustainability, eco – consciousness, and natural living.

OUR SLOGAN:

"PURE. PRACTICAL. PLANET – FRIENDLY."

EXPLANATION FOR THE SLOGAN:

A catchy alliterative slogan that quickly communicates three key benefits: organic materials, everyday usability, and environmental consciousness.

ORGANIC BAG PRODUCT

WHAT ARE ORGANIC BAGS?

Organic bags are environmentally friendly alternatives to conventional plastic bags. They are from natural, biodegradable, and sustainable materials, which decompose safely without polluting the environment. These bags are designed to reduce plastic waste and support eco-friendly lifestyles.

An organicbags are typically refers to a reusable, eco-friendly, bag made from natural, biodegradable, and sustainable materials.

USES OF ORGANIC BAGS

1.grocery shopping:

- Used to carry fruits, vegetables, and other groceries
- Reusable and durable compared to plastic bags.

2.gift and promotional bags:

- Used for packaging gifts or promotional materials at events.
- Often printed with logos for eco-friendly branding.

3. storage:

- Ideal for storing clothes, shoes, toys, and more.
- Breathable fabric prevents odour and mold.

4. school and office use

- Carried as book bags, lunch bags, or for organizing supplies.
- Encourages eco-conscious behaviour in students and professionals.

TYPES OF ORGANIC BAGS:

1.COTTON BAG:

Cotton bags are reusable, biodegradable, and eco-friendly alternatives to plastic bags. Made from natural cotton fibers. they are a popular choice for environmentally conscious consumers and businesses alike. Cotton bags come in various types based on their design, weave, and intended use.

TYPES OF COTTON BAG:

1.PLAIN COTTON BAGS:

- **Description**: Simple, rectangular bags with two handles.
- **Use**: Grocery shopping, daily use, promotions.
- **Features**: Lightweight, foldable, often printed with logos.

2.DRAWSTRING COTTON BAGS:

- **Description**: Pouch-style bags with a drawstring closure.
- **Use**: Shoe bags, gift bags, gym, or laundry bags.
- **Features**: Easy to open/close; used for lightweight items.

3. COTTON CANVAS BAGS:

- **Description**: Made from thicker, heavier cotton (canvas).
- **Use**: Carrying books, laptops, heavy groceries.
- **Features**: Highly durable, stylish, sturd.

2.HEMP BAGS

Hemp bags are eco-friendly bags made from fibers extracted from the hemp plant (Cannabis sativa). Known for their strength, durability, and sustainability, hemp bags are gaining popularity as a high-performance and planet-friendly alternative to synthetic and plastic bags.

Hemp fibre is one of the strongest and most durable natural fibres in the world.

TYPES OF HEMP BAGS:

1.HEMP TOTE BAGS

- Simple, large open-top bags with handles
- Ideal for shopping, books, and daily errands

2.HEMP BACKPACK BAGS

- Durable and stylish backpacks for school, travel, or hiking
- Often feature natural dyes and handmade designs

3.HEMP SLING BAGS

- Crossbody bags, trendy among eco-conscious youth
- Great for light travel or casual outings

4.HEMP LAPTOP BAGS

- Padded, functional, and sustainable
- Used for office or academic purpose

3.CORNSTARCH BAGS

Cornstarch bags are a type of biodegradable and compostable bag made from corn-derived materials, primarily cornstarch and polylactic acid (PLA). These bags are designed as an ecofriendly alternative to petroleum-based plastic bags and are commonly used for short-term packaging, grocery bags, garbage liners, and food containers.

TYPES OF CORNSTARCH BAG

1. SHOPPING BAGS

- ➢ Similar in appearance to plastic carry bags
- ➢ Lightweight and used for groceries or retail

2. GARBAGE BAGS

- ➢ Designed for collecting household waste
- ➢ Breaks down along with organic trash

3. FOOD PACKAGING BAGS

- ➢ Used for storing fresh produce or bakery items
- ➢ Suitable for restaurants and takeaways

4. DRAWSTRING COMPOST BAGS

- ➢ With a tie or drawstring top
- ➢ Used as liners for compost bins or food waste bins

4. BAMBOO FIBRE BAGS

Bamboo fibre bags are an eco-friendly alternative to synthetic bags, made from natural bamboo plant fibres. These bags combine sustainability with durability, making increasing in the popular among environmentally conscious consumers and business. Bamboo bags are containers made from bamboo highly renewable and sustainable resources.

TYPES OF BAMBOO FIBRE BAG

1. BAMBOO TOTE BAGS

- Large open-top bags with shoulder handles
- Ideal for groceries, books, and everyday use

2. BAMBOO MESH PRODUCE BAGS

- Breathable, net-style bags
- Perfect for carrying fruits and vegetables

3. PRINTED BAMBOO BAGS

- Bamboo fabric used as a canvas for promotional printing
- Used by eco-conscious brands for marketing

4. BAMBOO FABRIC FASHION BAGS

- Designed with fashion in mind
- Used in luxury or handmade bag collections

6. CANVAS BAGS

Canvas bags are sturdy, reusable bags made from heavy-duty woven fabric, traditionally made from cotton or linen. They are widely used as a sustainable alternative to plastic bags for shopping, carrying personal items, promotional events, and even fashion .
These bags are widely used because of their durability, reusability, and eco – friendly.

TYPES OF CANVAS BAGS:

1. CANVAS TOTE BAGS

- Open-top with parallel shoulder straps
- Widely used for shopping, errands, books, or casual wear

2. CANVAS MESSENGER BAGS

- Flap-style shoulder bag with compartments
- Popular for work, college, or casual travel

3. CANVAS BACKPACKS

- Dual-strap bags worn on the back
- Used by students and traveller

4. CANVAS DRAWSTRING BAGS

- Cinch-closed at the top with cords
- Used for light storage, gym wear, or promotional giveaways

6. PAPER BAGS

Paper bags are bags made primarily from paper pulp derived from wood fibres.
Paper bags are containers made from paper, used for packaging, carrying, or storing various items. They are a popular alternative to plastic bags due to their eco-friendly and biodegradable nature. This bags are very light weight so, easy to carry.

Types of Paper Bags:

1.KRAFT PAPER BAGS:

Made from kraft paper, these bags are strong, durable, and often used for grocery shopping.

2.BROWN PAPER BAGS:

General-purpose bags made from brown paper, used for food, gifts, or retail packaging.

3.PRINTED PAPER BAGS:

Customized paper bags with logos, designs, or messages, used for branding and marketing.

4. RECYCLED PAPER BAGS:

Made from post-consumer waste, these bags are an eco-friendly option

7. JUTE BAGS:

Jute bags are derived primarily from the jute plant (Corchorus Species), which grows mainly in countries like in India and Bangladesh.

A jute bag is a type of bag made from jute, a long, soft, shiny vegetable fiber that can be spun into coarse, strong threads. Jute is one of the most affordable natural fibers and is second only to cotton in terms of production and variety of uses.

TYPES OF JUTE BAGS:

1. Hessian Jute Bags:

- -Made from hessian fabric, these bags are durable and breathable.
- Often used for packaging, storage, and transportation of goods.

2. Jute Shopping Bags:

- Lightweight and eco-friendly, ideal for retail shopping.
- Can be customized with handles and prints for branding.

3. Jute Grocery Bags:

- Sturdy and reusable, perfect for carrying groceries.
- Biodegradable and compostable, reducing environmental impact.

PROJECTED FINANCIAL PLANNING

1)CAPITAL INTRODUCTION:

S.NO	PARTICULARS	AMOUNT
1.	Own finance	7,00,000

2)STARTUP EXPENSES:

S.NO	PARTICULARS	AMOUNT
1.	Business Registration &Permits & License	12,000
2.	Stamp Duty	5,000
3.	Advertisement	11,000
4.	Insurance	5,000
5.	Interior	5,000
6.	Logo Expenses	8,000
7.	Shop advance	50,000
8.	Trade Mark/ Brand Registration	4,000
	TOTAL	**1,00,000**

3) MACHINERY PURCHASED:

S.NO	PARTICULARS	AMOUNT
1.	Sewing Machine	35,000
2.	Overlook/ Finished Machine	25,000
3.	Handle Making Machine	25,000
4.	Printing Machine	15,000
5.	Eyelet Machine	20,000
	TOTAL	**1,20,000**

4) EQUIPMENT & FURNITURE

S.NO	PARTICULARS	AMOUNT
1.	Cutting Table& Tools	15,000
2.	Ironing & Finishing Tools	10,000
3.	QR Code & Scanning	5,000
4.	Fan & Light	10,000
5.	Air Conditioner	25,000
6.	Computer	40,000
	TOTAL	**1,05,000**

5) RAW MATERIAL

S.NO	PARTICULARS	AMOUNT
1.	Organic Fabric	30,000
2.	Jute Fabric	35,000
3.	Canvas Fabric	25,000
4.	Hemp Fabric	30,000
5.	Bio Degradable Firm	15,000
6.	Threads	10,000
7.	Handle Straps	15,000
8.	Interlining	20,000
9.	Zippers	10,000
10.	Velco	10,000
11.	Water - Based Ink	5,000
12.	Labels& Tags	15,000
13.	Eco Friendly Dyes Pigments	15,000
	TOTAL	**2,35,000**

6) SALES:

S.NO	PARTICULARS	AMOUNT
1.	Cash Sales	5,00,000
	TOTAL	**5,00,000**

7) PURCHASE:

S.NO	PARTICULARS	AMOUNT
1.	Cash Purchase	2,35,000
	TOTAL	**2,35,000**

8) CLOSING STOCK:

S.NO	PARTICULARS	AMOUNT
1.	Organic Fabric	10,000
2.	Jute Fabric	10,000
3.	Canvas Fabric	8,000
4.	Hemp Fabric	10,000
5.	Bio Degradable Firm	5,000
6.	Threads	5,000
7.	Handle Straps	5,000
8.	Interlining	7,000
9.	Zippers	2,500
10.	Velco	4,000
11.	Water - Based Ink	1,000
12.	Labels& Tags	2,500
13.	Eco Friendly Dyes Pigments	5,000
	TOTAL	**75,000**

9) OTHER EXPENSES

S.NO	PARTICULARS	AMOUNT
1.	By Rent	25,000
2.	By Printing and Stationery	5,000
3.	By Water and Power Supply	5,000
4.	By Repair and Maintenance	10,000
5.	Packaging	14,000
6.	Transportation	15,000
7.	Shipping and Freight Charges	5,000
	TOTAL	**79,000**

10) EMPLOYEE BENEFIT

S.NO	PARTICULARS	AMOUNT
1.	salary	20,000
	TOTAL	**20,000**

PROJECTED BANK ACCOUNT

PARTICULARS	AMOUNT	PARTICULARS	AMOUNT
To Capital	7,00,000	By Start Up Expense	1,00,000
		By Machines	1,20,000
		By Equipment and furniture	1,05,000
		By Materials	2,35,000
		By Balance C/D	1,40,000
	7,00,000		**7,00,000**
To Balance B/D	1,40,000	By Rent	25,000
To Cash Sales	5,00,000	By Salaries	20,000
		By Printing and Stationery	5,000
		By Water and Power Supply	5,000
		By Repair and Maintenance	10,000
		By Packaging	14,000
		By Transportation	15,000
		By Shipping Charges	5,000
		By Bank Balance B/D	5,41,000
	6,40,000		**6,40,000**

PROJECTED TRADING & PROFIT AND LOSS ACCOUNT

S.NO	PARTICULARS	AMOUNT
1.	Revenue From Operation	5,00,000
	TOTAL REVENUE (A)	**5,00,000**
	EXPENSES:	
2.	Cost Of Goods Sold	1,60,000
3.	Employee Benefit Expenses	20,000
4.	Depreciation & Amortization Expenses	31,250
5.	Other Expenses	79,000
	TOTAL EXPENSES (B)	**2,90,250**
	PROFIT BEFORE TAX (A-B)	**2,09,750**

NOTES FOR PROFIT AND LOSS ACCOUNT

1.COST OF GOODS SOLD:

S.NO	PARTICULARS	AMOUNT
	Cash purchase	2,35,000
	Less: closing stock	75,000
	TOTAL	**1,60,000**

2.DEPRECIATION AND AMORTISATION:

S.NO	PARTICULARS	AMOUNT
	Machinery purchased (1,20,000@5%	6,000
	Preliminary expenses(1,00,000/5)	5,250
	Equipment & furniture purchase (1,05,000@5%)	20,000
	TOTAL	**31,250**

3.OTHER EXPENSES

S.NO	PARTICULARS	AMOUNT
1.	By Rent	25,000
2.	By Printing and Stationery	5,000
3.	By Water and Power Supply	5,000
4.	By Repair and Maintenance	10,000
5.	Packaging	14,000
6.	Transportation	15,000
7.	Shipping and Freight Charges	5,000
	TOTAL	**79,000**

NOTES TO ACCOUNTS ON BALANCE SHEET

NOTE.NO	PARTICULARS	AMOUNT
1.	**SHARE CAPITAL**	
	Capital	7,00,000
2.	**RESERVES & SURPLUS**	
	Profit	2,09,750
3.	**TANGIBLE ASSETS**	
	Machinery (1,20,000-6,000) 5%	1,14,000
	Equipment &Furniture (1,05,000-5,250) 5%	99,750
		2,13,750
4.	**TRADE RECEIVABLE**	
	Closing Stock	75,000
5.	**OTHER CURRENT ASSET:**	
	Preliminary Expenses (1,00,000/5) =20,000	80,000

PROJECTED BALANCE SHEET

NOTE NO	PARTICULARS	AMOUNT
	A) LIABILITES	
1.	**SHARE CAPITAL**	
	Capital	7,00,000
2.	**RESERVES & SURPLUS**	
	Profit	2,09,750
	TOTAL LIABILITIES	**9,09,750**
	B) ASSETS	
3.	**NON-CURRENT ASSETS**:	
	Tangible Assets	2,13,750
4.	**CURRENT ASSETS:**	
	Closing Stock	75,000
	Cash And Bank Balance	5,41,000
5.	**OTHER ASSETS:**	
	Preliminary Expenses	80,000
	TOTAL ASSETS	**9,09,750**

PROJECTED RATIO ANALYSIS OF THE PROPOSED BUSINESS

1. GROSS PROFIT RATIO:

Gross profit ratio (GP ratio) is a financial ratio that measures the performance and efficiency of a business by dividing its gross profit figure by the total net sales. the gross profit ratio can also he expressed in percentage form, multiplying the result by 100**.**

The gross profit ratio is (also called as gross margin) is a financial metric used to assess a company's efficiency in producing and selling its product.

FORMULA:

$$\text{Gross Profit Ratio} = \frac{\text{Gross Profit}}{\text{Net sales}} \times 100$$

GROSS PROFIT RATIO FOR THE YEAR:

Gross profit = 3,40,000

Net Sales = 5,00,000

$$\text{Net Profit Ratio} = \frac{3,40,000}{5,00,000} \times 100$$

$$\mathbf{= 41.95\%}$$

INFERENCE:

A gross profit ratio of 68% indicates that the company retains 68 paise as gross profit for every ₹1 of sales, after covering the cost of goods sold. This reflects strong profitability from core operations and efficient management of direct costs such as raw materials and labor. A high gross profit margin suggests the company may have pricing power or a favorable product mix. It provides a solid cushion to cover operating expenses and still maintain healthy net profits..

2.NET PROFIT RATIO:

Net profit ratio is a profitability ratio that measures the company profit to the total amount of money brought into the business. It is a way to measure the financial performance of the business. To obtain net profit ratio we should divide net profit by net sales of the company. It Also known as Net Profit Margin ratio, it establishes a relationship between net profit earned and net revenue generated from operations (net sales). Net profit ratio is a profitability ratio which is expressed as a percentage hence it is multiplied by 100. Net profit ratio helps to find out net profit earned in comparison to revenue earned from operations.

FORMULA:

$$\boxed{\text{Net Profit Ratio} = \frac{\text{Net profit}}{\text{sales}} \times 100}$$

NET PROFIT RATIO FOR THE YEAR:

Net Profit = 2,09,750

Sales = 5,00,000

$$\text{Net Profit Ratio} = \frac{2{,}09{,}750}{5{,}00{,}000} \times 100$$

= 41.95%

INFERENCE:

A net profit ratio of 41.95% indicates that the company earns approximately ₹41.95 as net profit for every ₹100 of revenue after accounting for all expenses, including operating costs, interest, and taxes. This reflects excellent overall profitability and strong financial health. Such a high ratio suggests effective cost control, efficient operations, and possibly strong pricing strategies. It also indicates that the company is generating substantial returns for its shareholders. A net profit margin at this level is well above average in most industries.

3.WORKING CAPITAL TURNOVER RATIO:

Working capital turnover ratio is the ratio between the net revenue or turnover and the working capital of a business. The ratio indicates how effectively a company uses the available funds for streamlined production of goods and services.

A higher Turnover ratio is better, and indicates that a company is able to generate a larger number of sales.

FORMULA:

$$\text{Working capital turnover ratio} = \frac{\text{Cost Of Sales}}{\text{Net Working Capital}}$$

WORKING CAPITAL TURNOVER RATIO FOR THE YEAR:

cost of sales = 5,00,000

Working capital = Current asset – Current Liabilities

= 6,16,000 – 0

Working capital = 6,16,000

$$\text{Working capital turnover ratio} = \frac{5,00,000}{6,16,000}$$

= 0.81 times

INFERENCE:

A working capital turnover ratio of ₹ 0.81 times indicates that the company is generating 0.81 times in sales for every ₹1 0f working capital employed. This is considered relatively low, suggesting that the company may not be using its working capital efficiently to generate revenue. It could point to excess current assets, underutilized resources, or potential inefficiencies in inventory or receivables management.

4.INVENTORY TURNOVER RATIO:

Inventory turnover ratio is a financial ratio showing how many times a company turned over its inventory relative to its cost of goods sold in a given period. The inventory turnover ratio can help businesses make better decisions on pricing, manufacturing, marketing and purchasing.

This ratio is also called as stock velocity ratio

FORMULA:

$$\text{Inventory turnover ratio} = \frac{\text{Cost Of Goods Sold}}{\text{Average Stock}}$$

INVENTORY TURNOVER RATIO FOR THE YEAR:

Cost of goods sold = 1,60,000

Average Stock = 37,500

Average Stock $= \frac{\text{opening stock} + \text{closing stock}}{2}$

39,500 $= \frac{75,000}{2}$

Inventory turnover Ratio $= \frac{1,60,000}{37500}$

= 4.27 times

INFERENCE:

An inventory turnover ratio of 4.27 times means the company sells and replaces its inventory approximately 4.27 times in a year. This indicates a moderate inventory movement, suggesting that inventory is being managed reasonably well but may not be turning over as quickly as in highly efficient operations. A ratio at this level implies that, on average, inventory is held for about 85 days (365 ÷ 4.27), which could tie up working capital.

5.FIXED ASSETS TURNOVER RATIO:

The fixed asset turnover ratio reveals how efficient a company is at generating sales from its existing fixed assets. A higher ratio implies that management is using its fixed assets more effectively. A high fixed assets turnover ratio does not tell anything about a company's ability to generate solid profit or cash flow.

The fixed assets turnover ratio is a financial, metric that measures a company efficiency in using its fixed asset.

FORMULA:

$$\text{Fixed Asset Turnover Ratio} = \frac{\text{Sales}}{\text{Net Fixed Assets}}$$

FIXED ASSETS TURNOVER RATIO FOR THE YEAR: Sales = 5,00,000

Fixed Assets = 2,13,750

$$\text{Fixed Assets turnover ratio} = \frac{5{,}00{,}000}{2{,}13{,}750}$$

= 2.34 times

INFERENCE:

Fixed assets turnover ratio of 2.34 times indicates that the company generates ₹2.34 in revenue for every ₹1 invested in fixed assets. This reflects moderate efficiency in utilizing its fixed assets, such as plant, machinery, and equipment, to generate sales. A ratio of this level suggests that the company is making fair use of its long-term investments, though there may be room for improvement. Comparing this with industry standards is essential to determine if asset utilization is competitive.

6.RETURN ON ASSETS:

Return on assets ratio refers to a financial ratio that indicates how profitable a company is in relation to its total assets. A higher return on assets means a company is more efficient and productive at managing its balance sheet to generate profit while a lower return on assets indicates there is room for improvement. A higher return on investment (ROI) implies that a company is more effective and productive in managing its balance sheet to generate profits. While a lower ROA suggests that there is space for development.

FORMULA:

$$\text{Net profit Return on assets ratio} = \frac{\text{Net Profit}}{\text{Total Assets} - \text{Ficitious Asset}} \times 100$$

RETURN ON ASSETS RATIO FOR THE YEAR:

Net Profit = 2,09,750

Total Asset = 9,09,750

Fictious asset = 80,000

$$\text{Return on Assets Ratio} = \frac{2{,}09{,}750}{9{,}09{,}750 - 80{,}000} \times 100$$

$$= \mathbf{25.28\%}$$

INFERENCE:

A return on assets (ROA) of 25.28% indicates that the company is generating ₹25.28 in net profit for every ₹100 invested in total assets. This is a strong indicator of asset efficiency, showing that the company is effectively using its resources to generate earnings. A high ROA like this reflects well on management's ability to control costs and utilize assets productively. It also suggests strong overall profitability and operational performance.

7.EXPENSES RATIO:

Expense ratio is the annual maintenance charges levied by mutual funds to finance its expenses. It includes annual operating costs, including management fees, allocation charges, advertising costs, etc., of the fund value of an expense ratio depends upon the size of the mutual find in question, this thereby increases the relative value of the expenses concerning the total amount of funds available.

Example for the expenses ratio are administrative expenses ratio, selling and distribution expenses ratio.

FORMULA:

$$\boxed{\text{Expenses ratio} = \frac{\text{Total Expenses}}{\text{Sales}} \times 100}$$

EXPENSES RATIO FOR THE YEAR:

Total expenses = 99,000

Sales = 5,00,000

$$\text{Expenses ratio} = \frac{99{,}000}{5{,}00{,}000} \times 100$$

$$= \mathbf{19.80\%}$$

INFERENCE:

An expenses ratio of 19.80% indicates that 19.80 % of the total assets or revenues are being consumed to cover operating or administrative expenses. This is a significantly high ratio, and it is raises important considerations about the efficiency and financial health of the entity being analyzed – whether it’s a mutual fund, company, or organization.

8.RETURN ON INVESTMENT:

Return on investment means the investment gains compare favorably to its cost. As a performance measure, return on investment is used to evaluate the efficiency of investment made. Of tries to directly measure the amount of return on a particular investment, relative to the vestment's cost. To calculate ROL. the benefit (or return) of an investment is divided by the cost of the investment. The result is expressed as a percentage or a ratio.

FORMULA:

$$\text{Return on investment ratio} = \frac{\text{Operating Profit}}{\text{Capital Employed}} \times 100$$

RETURN ON INVESTMENT RATIO FOR THE YEAR:

Operating Profit = Gross profit – operating expenses

=3,40,000 – 99,000 = 2,41,000

Capital employed = tangible asset + closing stock + bank balance

2,13,750 + 75,000 + 5,41,000 = 8,29,750

$$\text{Return on Investment Ratio} = \frac{241000}{8,29,750} \times 100$$

= 29.04%

INFERENCE:

Return on investment (ROI) of 29.04% signifies that the company earns ₹29.04 as profit for every ₹100 invested in the business. This indicates a high level of efficiency in generating returns from its invested capital. Such a strong ROI reflects effective management decisions, profitable operations, and good use of resources.

9.OPERATING PROFIT RATIO:

Operating profit ratio is referred to as the ratio that is used to define a relationship between the operating profit and the net sales. Operating profit ratio is one type of profitability ratio and is therefore expressed in the form of a percentage. It indicates how much profit a company makes after paying for variable costs of production.

The operating profit ratio (also called as operating profit margin) is a financial metric that shows what percentage of a company's net sales is left over as operating profit after covering its operating expenses.

FORMULA:

$$\boxed{\text{Operating Profit Ratio} = \frac{\text{Operating Profit}}{\text{Sales}} \times 100}$$

OPERATING PROFIT RATIO FOR THE YEAR:

Operating Profit = Gross Profit – Operating Expenses

3,40,000 – 99,000 = 2,41,000

Sales = 5,00,000

$$\text{Operating profit ratio} = \frac{2,41,000}{5,00,000} \times 100$$

= **48.2%**

INFERENCE:

In operating profit ratio of 48.2% indicates that the company earns ₹48.20 as operating profit for every ₹100 of sales revenue. This high ratio reflects strong operational efficiency, showing that the company effectively controls its operating expenses such as wages, rent, and utilities. It suggests that core business activities are highly profitable before accounting for interest and taxes. A robust operating profit margin also provides a buffer against market fluctuations and financial challenges.

10.OPERATING RATIO :

The operating ratio measures the proportion of a company's revenue that is consumed by operating expenses.

This ratio indicates how efficiently a company manages its operating costs relative to its sales. A lower operating ratio means better cost control and higher operating profitability, while a higher ratio suggests that a larger portion of revenue is spent on operating expenses, leaving less profit.

FORMULA:

$$\boxed{\text{Operating Ratio} = \frac{\text{Cost of Goods+Operating Expenses}}{\text{Net Sales}} \times 100}$$

OPERATING PROFIT FOR THE YEAR:

Cost of Goods Sales = 1,60,000

Operating Expenses = 99,000

Net Sales = 5,00,000

$$\text{Operating Ratio} = \frac{2,59,000}{5,00,000} \times 100$$

= 51.8 %

INFERENCE:

An operating ratio of 51.8% means that 51.8 paise of every ₹1 earned as sales is spent on operating expenses. This indicates efficient cost management, as nearly half of the sales revenue is available to cover other costs like interest and taxes, and to generate profit. The ratio suggests that the company maintains good control over expenses such as salaries, rent, and utilities. Compared to industry norms, a ratio below 60% is generally considered favorable, reflecting strong operational efficiency.

FINDINGS

- Based on the financial ratios provided for the organic bag product business, the overall financial health and performance appear strong, but there are areas where operational efficiency and profitability management could be improved. Below is a summary of the key findings:
- This is a strong indicator of profitability at the production level. A 68% gross profit margin suggests the company is efficiently managing its cost of goods sold (COGS), and the organic bag product has a high mark-up, possibly due to strong branding or premium pricing.
- net profit ratio, of over 40% is exceptional. It indicates that after all expenses, including taxes and interest, the company retains a significant portion of revenue as profit.
- Equal to the net profit ratio, this suggests minimum or no non – operating income/ expenses Or taxes. It also confirms that operating efficiently is high, and core business activities are highly profitable.
- This figure shows the company is controlling its operating expenses well, as it spends only about 20% of its revenue on expenses.
- This ratio, which includes COGS and operational expenses ,confirms that 48.2% of the revenue turn into operating income. It's an excellent figure, reflects strong operational control.
- This is a weak point. It indicates that working capital is underutilized, and the company generates less that 1x revenue per unit of working capital. It could imply excess current assets or inefficient short – term asset management.
- This suggests the inventory is sold and replaced around 4.26 times a year. While acceptable it indicates room for improvements in inventory management to reduce holding costs and improves cash flow.
- This is a moderates level of assets utilization. It shows that the business is generating 2.33 in revenue for every 1 of fixed assets – a healthy sign of capital efficiency.
- This is a high ROA, indicating that the business is effectively using its assets to generate profit. A nearly 30% ROI reflects a highly profitable investment, reinforcing the business as a financially strong and attractive proposition.

SUGGESTION

- Based on the findings and conclusion, the following strategic and operational suggestions are offered to strengthen and sustain the business performance of the organic bag product line:
- Evaluate the components of working capital (inventory, receivables, payables) to identify inefficiencies.
- Adopt just – in – time (JIT) inventory methods where feasible to reduce holding costs .Improve demand forecasting to ensure production aligns with market demand, minimizing overstocking. Implement periodic inventory audits to prevent wastages, especially for biodegradable or time sensitive materials.
- Use inventory and supply chain management software to monitor stock levels and suppliers performance. Implement ERP systems to integrate and streamline finance, production and sales data, supporting faster decision -making.
- Continue emphasizing the organic and ecofriendly value proposition to justify premium pricing and sustain high margins. Invest in sustainable packaging ,certifications, and storytelling to strength the brand's market appeal.
- With strong ROA and ROI ,consider reinvesting profits into expanding production capacity or exploring new markets. Ensure any scaling efforts maintain current levels of cost control and efficiency.
- In summary, which the business demonstrates strong financial health and profitability, refining operational efficiency in areas like working capital and inventory management will further enhance sustainability and long term success in the eco – conscious market.

CONCLUSION

The financial analysis of the organic bag product indicates a viable and sustainable business opportunity with strong potential for profitability and growth. With relatively low production costs, access to eco-conscious markets, and opportunities for bulk and customized sales, the business can achieve a healthy return on investment.

Projected revenues are supported by increasing demand for environmentally friendly alternatives, while expenses remain manageable through efficient sourcing and production strategies. Overall, the organic bag venture demonstrates financial feasibility, scalability, and alignment with current market and environmental trends.

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